

International Political Economy

Instructor: Alexander Trubowitz

Email address:

Office Hours: TBA

Overview: This course is a graduate seminar aimed at preparing students for research in the field of international political economy. The course introduces students to the main theoretical tools and many of the central substantive problems in IPE, drawing on both canonical and recent contributions. The assignments are designed to be an on-ramp for independent research.

Requirements:

In-class participation: Active participation in weekly seminars, informed by completion of the assigned readings, is an essential part of this course. 10% of course grade.

Reading presentation: Starting in Week 2, one student (or groups of two, depending on seminar size) will present a 15-minute overview of the week's readings. Presentations should be synthetic and focus on how the readings fit together or how they offer competing perspectives on the same problem; you should not simply summarize each reading separately. These presentations are meant to frame the subsequent in-class discussion. 10% of course grade.

Initial research proposal (week 6): This is a three-page paper proposal. You should identify an unexplained empirical puzzle or an area in which there are contradictory theoretical predictions. Provide an overview of relevant research based on your own research and propose an idea or ideas for an empirical design. We will meet individually to discuss these proposals. 10% of course grade.

Expanded research proposal (week 12): This is a 15-page paper that expands upon or modifies your initial proposal in light of our conversation. This should include an introductory section akin to one you would use for a journal submission and a background/literature review and theory sections. Depending on the nature of the research design, you should be able to begin data collection, conduct a preliminary analysis, or present a detailed plan for future empirical steps. 30% of course grade.

Research presentation: In Week 13, you will give a 10-minute presentation of your research proposal to the class, followed by Q&A. 10% of course grade.

In-class final exam: You will write two essay questions from a list of four, in the manner of a comprehensive exam. 30% of course grade.

Electronic devices: Laptops are permitted for note-taking and for referring to course readings. Please be conscious of the fact that browsing the internet during class is distracting for the students sitting around you.

Plagiarism: Plagiarism is a serious breach of the University's code of conduct. It is assumed that you have carefully reviewed the University's policy on plagiarism. Your use of AI must adhere to the university's policy.

Accessibility: The University is committed to equal access for students with disabilities. Students with disabilities who have been approved to receive academic accommodations must contact me as soon as possible so that the relevant accommodations can be made.

Week 1: Political barriers to economic efficiency. Why don't optimal policies get adopted? Why are some actors able to exert more political influence than others?

Olson, Mancur. *The Logic of Collective Action: Public Goods and the Theory of Groups*. Cambridge: Harvard University Press, 1965 (selections).

Stigler, George. "The theory of economic regulation." *The Bell Journal of Economics and Management Science* (1971): 3-21.

Dixit, Avinash, and John Londregan. "Redistributive politics and economic efficiency." *American political science Review* 89.4 (1995): 856-866.

Acemoglu, Daron, and James A. Robinson. "Inefficient redistribution." *American Political Science Review* 95.3 (2001): 649-661.

Week 2: Economic interests. How should we understand political conflict over economic policy? Are the relevant cleavages sectoral, industrial, occupational, or inter-firm?

Rogowski, Ronald. *Commerce and Coalitions: How Trade Affects Domestic Political Alignments*. Princeton: Princeton University Press, 1990 (selections).

Hiscox, Michael. "Class Versus Industry Cleavages: Inter-Industry Factor Mobility and the Politics of Trade." *International Organization* 55(1): 1-46.

Iversen, Torben, and David Soskice. "An asset theory of social policy preferences." *American Political Science Review* 95.4 (2001): 875-893.

Kim, In Song, and Iain Osgood. "Firms in trade and trade politics." *Annual Review of Political Science* 22.1 (2019): 399-417.

Week 3: Political Institutions. Do democracies adopt distinctive economic policies? How does institutional variation among democratic countries affect policy outcomes?

Adserà, Alícia, and Carles Boix. "Trade, democracy, and the size of the public sector: The political underpinnings of openness." *International Organization* 56.2 (2002): 229-262.

Rogowski, Ronald, and Mark Kayser. "Majoritarian electoral systems and consumer power: price-level evidence from the OECD countries." *American Journal of Political Science* 46 (2002): 526-539.

Lindvall, Johannes. "Power sharing and reform capacity." *Journal of Theoretical Politics* 22.3 (2010): 359-376.

Rickard, Stephanie. *Spending to Win: Political Institutions, Economic Geography, and Government Subsidies*. Cambridge: Cambridge University Press, 2018 (selections).

Week 4: Information and beliefs. How do predictions change if we relax the assumption that actors are fully informed? How can we incorporate ideas and beliefs into international political economy?

Downs, Anthony. *An Economic Theory of Democracy*. New York: Harper, 1957 (selections).

Rho, Sungmin, and Michael Tomz. "Why don't trade preferences reflect economic self-interest?" *International Organization* 71 (2017): 85-108.

Bénabou, Roland, and Jean Tirole. "Mindful economics: The production, consumption, and value of beliefs." *Journal of Economic Perspectives* 30.3 (2016): 141-164.

McNamara, Kathleen. *The Currency of Ideas: Monetary Politics in the European Union*. Ithaca: Cornell University Press, 1998 (selections)

Blyth, Mark. *Great Transformations: Economic Ideas and Institutional Change in the Twentieth Century*. Cambridge: Cambridge University Press, 2002 (selections).

Week 5: Exchange rates and monetary regimes. Who benefits from fixed exchange rate regimes and monetary integration? Who benefits from currency undervaluation and overvaluation?

Eichengreen, Barry. *Globalizing Capital: A History of the International Monetary System*. 3rd Ed. Princeton: Princeton University Press, 2019 (selections).

Frieden, Jeffry. *Currency Politics: The Political Economy of Exchange Rate Policy*. Princeton: Princeton University Press, 2014 (selections).

Sandbu, Martin. *Europe's Orphan: The Future of the Euro and the Politics of Debt*. Princeton: Princeton University Press, 2017 (selections).

Tober, Tobias. "The launch of EMU and German export interests." *Socio-Economic Review* 21.3 (2023): 1657-1678.

Week 6: Trade policy. Who lobbies for protection and when are tariffs preferred over more efficient policy tools? Can compensation secure support for trade liberalization?

Grossman, Gene, and Elhanan Helpman. "Protection for Sale." *American Economic Review* 84.4 (1994): 833-850.

Gawande, Kishore, and Christopher Magee. "Free riding and protection for sale." *International Studies Quarterly* 56.4 (2012): 735-747.

Scheve, Kenneth, and Theo Serlin. “The German trade shock and the rise of the neo-welfare state in early twentieth-century Britain.” *American Political Science Review* 117.2 (2023): 557-574.

Baccini, Leonardo, Iain Osgood, and Stephen Weymouth. “The service economy: US trade coalitions in an era of deindustrialization.” *The Review of International Organizations* 14.2 (2019): 261-296.

Kim, Sung Eun, and Yotam Margalit. “Informed preferences? The impact of unions on workers’ policy views.” *American Journal of Political Science* 61.3 (2017): 728-743.

Week 7: Determinants of export competitiveness. How do wage-setting and skill formation institutions affect the competitiveness of a country’s tradable sector? Why does the extent of deindustrialization vary across advanced countries?

Dauth, Wolfgang, Sebastian Findeisen, and Jens Suedekum. “Trade and manufacturing jobs in Germany.” *American Economic Review* 107.5 (2017): 337-342.

Hancké, Bob. *Unions, central banks and EMU: labour market institutions and monetary integration in Europe*. New York: Oxford University Press (selections).

Dustmann, Christian, Bernd Fitzenberger, Uta Schönberg, and Alexandra Spitz-Oener. “From sick man of Europe to economic superstar: Germany’s resurgent economy.” *Journal of Economic Perspectives* 28.1 (2014): 167-188.

Baccini, Leonardo, Mattia Guidi, Arlo Poletti, and Aydin B. Yildirim. “Trade liberalization and labor market institutions.” *International Organization* 76.1 (2022): 70-104.

Di Carlo, Donato. “Understanding wage restraint in the German public sector: does the pattern bargaining hypothesis really hold water?” *Industrial Relations Journal* 51.3 (2020): 185-208.

Week 8: Immigration policy. What determines firms’ and voters’ preferences toward immigration policy? How might immigration preferences be shaped by economic forces even if they do not correspond to concerns about labor market competition?

Peters, Margaret. *Trading Barriers: Immigration and the Remaking of Globalization*. Princeton: Princeton University Press, 2017 (selections).

Albert, Christoph. “The labor market impact of immigration: Job creation versus job competition.” *American Economic Journal: Macroeconomics* 13.1 (2021): 35-78.

Gould, Eric D. “Explaining the unexplained: Residual wage inequality, manufacturing decline and low-skilled immigration.” *The Economic Journal* 129.619 (2019): 1281-1326.

Hainmueller, Jens, and Daniel Hopkins. “Public attitudes toward immigration.” *Annual review of political science* 17.1 (2014): 225-249.

Hopkins, Daniel, Yotam Margalit, and Omer Solodoch. "Personal economic shocks and public opposition to unauthorized immigration." *British Journal of Political Science* 54.3 (2024): 928-936.

Week 9: International lending, conditionality, and default. How does international indebtedness affect policymaking and prospects for development? When do governments default on international obligations?

Queralt, Didac. *Pawned States: State Building in the Era of International Finance*. Princeton: Princeton University Press, 2022 (selections).

Caraway, Teri, Stephanie J. Rickard, and Mark S. Anner. "International negotiations and domestic politics: The case of IMF labor market conditionality." *International organization* 66.1 (2012): 27-61.

Dreher, Axel, Jan-Egbert Sturm, and James Raymond Vreeland. "Politics and IMF conditionality." *Journal of Conflict Resolution* 59.1 (2015): 120-148.

Roos, Jerome. *Why Not Default? The Political Economy of Sovereign Debt*. Princeton: Princeton University Press, 2019 (selections).

Ballard-Rosa, Cameron. *Democracy, Dictatorship, and Default: Urban-Rural Bias and Economic Crises across Regimes*. Cambridge: Cambridge University Press, 2020 (selections).

Week 10: Politics of international organizations. When do governments delegate authority to international organizations? In what ways do these decisions reflect domestic distributional conflicts?

Abbott, Kenneth, and Duncan Snidal. "Why states act through formal international organizations." *Journal of conflict resolution* 42.1 (1998): 3-32.

Bowen, T. Renee, J. Lawrence Broz, and Christina Schneider. "Domestic politics and international organizations." *The Review of International Organizations* 21.1 (2026): 1-40.

Baccini, Leonardo, and Johannes Urpelainen. "International institutions and domestic politics: Can preferential trading agreements help leaders promote economic reform?" *Journal of Politics* 76.1 (2014): 195-214.

Von Borzyskowski, Inken, and Felicity Vabulas. "Hello, goodbye: When do states withdraw from international organizations?" *The Review of International Organizations* 14.2 (2019): 335-366.

Goldstein, Judith, and Robert Gulotty. "America and the trade regime: What went wrong?" *International Organization* 75.2 (2021): 524-557.

Week 11: The political economy of national security. How can we integrate international political economy with international security? How do domestic political constraints

affect states' responses to security challenges and how do security threats affect states' economic policy choices?

Poast, Paul. "Beyond the "sinew of war": the political economy of security as a subfield." *Annual Review of Political Science* 22.1 (2019): 223-239.

Narizny, Kevin. "Both guns and butter, or neither: Class interests in the political economy of rearmament." *American Political Science Review* 97.2 (2003): 203-220.

Oatley, Thomas. *A Political Economy of American Hegemony: Buildups, Booms, and Busts*. Cambridge: Cambridge University Press, 2015 (selections).

Obinger, Herbert, and Carina Schmitt. "Guns and butter? Regime competition and the welfare state during the Cold War." *World Politics* 63.2 (2011): 246-270.

Farrell, Henry, and Abraham L. Newman. "Weaponized interdependence: How global economic networks shape state coercion." *International security* 44.1 (2019): 42-79.

Week 12: The political economy of the green transition. What are the relevant cleavages over climate policy and how do domestic political divides affect the prospect of international cooperation?

Bechtel, Michael, Federica Genovese, and Kenneth Scheve. "Interests, norms and support for the provision of global public goods: the case of climate co-operation." *British Journal of Political Science* 49.4 (2019): 1333-1355.

Genovese, Federica. "Sectors, pollution, and trade: How industrial interests shape domestic positions on global climate agreements." *International Studies Quarterly* 63.4 (2019): 819-836.

Kennard, Amanda. "The enemy of my enemy: When firms support climate change regulation." *International Organization* 74.2 (2020): 187-221.

Heddesheimer, Vincent, Hanno Hilbig, and Erik Voeten. "The green transition and political polarization along occupational lines." *American Political Science Review* 120.3 (2026): 853-875.

Gazmararian, Alexander, and Dustin Tingley. *Uncertain futures: How to unlock the climate impasse*. Cambridge University Press, 2023 (selections).

Week 13: Student presentations